BUSINESS STRATEGY

Suggested Answers

July-August 2022

Answer to the Question# 1 (a):

Tourism industry of Bangladesh

Although the tourism industry of Bangladesh is growing and the government is supporting the industry extensively, it is underdeveloped compared with the tourism industries of other countries. The tourism industry can be analysed using the Diamond model of Michael Porter. The model suggests four factors that can offer competitive advantages of the industry of a country over the comparable industries of other countries.

Related and supporting industries:

A tourism industry needs robust support industries. These supporting industries, for example, hotels, transports, and restaurants help the industry attract and serve customers better. These supporting industries are well-developed in other countries, putting tourism in Bangladesh at a relative disadvantage. Although the supporting industries have not been abortive in serving the local customers, a developed tourism industry should be successful and attractive for both domestic and foreign tourists.

Demand structure:

Another aspect of the development of an industry is the domestic demand. Domestic demand becomes more powerful when it is sophisticated and depends on judgement. Strong domestic demand enables companies to produce goods and services which create demand in other countries. Although the tourism sector of Bangladesh has a moderate level of local demand, it appears to be weak compared with the local demand of other counties. Therefore, the industry has been unsuccessful to generate an appeal to overseas tourists.

Firm strategy, structure and rivalry:

The third factor is the structure and strategy of companies in the industry and the rivalry between them. The existence of several companies with sufficient resources, including effective management, and rivalry among the companies benefits an industry. In Bangladesh, the number of companies competing in the tourism industry is small. Moreover, the resources and management of these companies do not appear to be helping the industry develop, resulting in the industry remaining underdeveloped compared with the tourism industry of other nations.

Factor conditions:

The fourth one is the favourable factor conditions, i.e. advantages in terms of natural resources, climate, labour skills, technological, and infrastructures such as transportation and telecommunications networks. Countries with these favourable factors have a competitive advantage over countries with less of them. Although Bangladesh has natural resources, e.g. historical sites, sea beaches, hills etc., building better infrastructure and achieving technological advancements is time demanding.

Therefore, the view that the tourism industry in Bangladesh is underdeveloped compared with other counties appears to be factual.

Competitive advantage of Voyage:

Despite operating in a relatively underdeveloped industry, Voyage has gained some competitive advantages, enabling it to compete successfully against its competitors. Since Voyage is a high-end service provider, the competitive advantage therefore comes from its product differentiation. Although the tour management and the ability and skills of the directors have added value to the operation, the effective sales operation in Europe appears to be the key competitive advantage of Voyage. However, the competitive advantage can be intimidated by the competitors in the high-end market by offering better product differentiation. Therefore, gaining unique resources and improvement of the tour features appears necessary.

Answer to the Question# 1 (b):

A strategy of extending Voyage into other countries in Asia might be successful, provided the company has sufficient resources. Many aspects of tourism are identical in Asian countries, and there are large companies specializing in tourism and travel that have a global reach. However, Nabil has an ethnocentric view of the tourism business and thinks that Voyage should focus exclusively on Bangladesh because the tourism business in Bangladesh is different from other countries. This view is not necessarily accurate.

Therefore, the expansion strategy into other Asian countries might be suitable because growth opportunities in other countries might be greater than in Bangladesh. However, Voyage does not have experience in other countries, and because it is still a fairly small company with limited resources, this strategy is presumably unrealistic and not feasible. It would also be unacceptable to Nabil, one of the directors and an important stakeholder in the company.

The expansion into conferencing might seem suitable for a company that operates in the high-end market in the tourism industry, especially if there are growth prospects in the conferencing business. However, the strategy does not appear feasible because Voyage does not have relevant experience, marketing structure and resources, although the conferencing in Bangladesh has growth prospects.

Answer to the Question# 1 (c):

Nabil and Abrar appear to disagree on appointing a non-executive director, despite their agreement on the importance of formalizing the governance structure and appointment of a new director. Nabil wants the board to be more diversified and experienced by appointing a non-executive director. He believes Voyage will benefit from outside expertise to help it thrive and expand.

However, apart from gaining regional power, the contribution of the politician to the board seems doubtful. Correspondingly, the hotel chain owner may face a conflict of interest since Voyage might use hotels of his rival companies. Moreover, considering the size of Voyage, the appointment of a non-executive director appears to be questionable. Therefore, unless the need for eternal expertise is clearly established, the most appropriate recommendation would be to reject the idea of appointing a non-executive director.

The appointment of an executive director, as Abrar suggested, appears to be premature since the company does not have any management structure other than the board of directors. Therefore, the company should initially establish a division of responsibility to create a formal organizational structure. Then it may consider appointing someone to the new roles created.

Another governance issue at Voyage is the management style. Currently, the two directors are authoritarian and make all major decisions, although they occasional engage with the employees. Therefore, the directors should consider appointing someone as a manager to create a management tier and delegate more decision-making authority to that tier.

Answer to the Question# 1 (d):

Although the directors promote ethical business practice through a code of conduct, there are certain aspects of the company where the operation is unethical. One of the crucial aspects of ethical behaviour is conducting business with integrity and honesty. The company campaigns that its customers receive five-star service, while there have been instances of sub-par services. Moreover, the non-compliance with the service code remains unattained, supporting the unethical practice.

The environmental and corporate social responsibility aspects are also considered parts of ethical business practice. Voyage contributes to environmental pollution through customers' transportation. However, the company does not appear to be doing anything beneficial to the environment, promoting an unethical business practice. Therefore, the company is not operating ethically.

Answer to the Question# 2 (a) (i, ii & iii):

Date: June 2022

Board of directors

Xora Engineering Limited

Dhaka, Bangladesh

Subject: Evaluation of growth options and other related issues

i. Evaluation of growth opportunities

This section evaluates two proposed strategic options; solar panel manufacturing and working in the government sector.

Solar panel manufacturing:

As highlighted in the recently published article, the solar panel business in Bangladesh has enormous potential. The market is growing, indicating the early expansion in this sector will offer Xora a comparative advantage. Solar panel products will increase the sale of related products and capture new market share, as the production director highlighted. Therefore, the investment will enable innovation and quick market development-based expansion. Financially, the investment is viable with a sustainably higher IRR (21%) than the cost of capital (9%). Moreover, the payback period is within the predetermined threshold of Xora. Therefore, the project appears feasible from a financial and strategic standpoint.

Nonetheless, the commitment to a particular new market is risky since it requires a substantial investment without a guarantee of success. It could necessitate a significant modification of the existing operation. Moreover, the company does not seem to have any prior industry experience. However, the risk of operational modification could be reduced by keeping the manufacturing of solar panels separate. Therefore, the project appears feasible from a financial and strategic standpoint.

Working in the government sector:

As the service director suggested, the public sector work will create a market for Xora. Working in this sector would represent a more coherent strategy because the prior contracts were one-off. Gaining recurring contracts will enable the company to register with the government and help obtain other contracts in the future. Moreover, the contracts will provide a steady income over several years, protecting the company from an economic downturn. The high-profile works in this sector will also provide publicity.

Profitability is one of the major problems with government contracts. The margin shrinks because of the need to satisfy economic objectives, tight performance measures, and the demand for specialized skills and expensive resources. Additionally, the reputational risk is substantial due to the work's high visibility. The claim that the need for innovative services will be less in the public sector may be factual. The work priorities of the government sector may change with the changes in government.

Recommendation:

Since Xora has a healthy financial position and available source of capital, it can consider investing in both if they are not mutually exclusive. They will improve diversity, and balance the risk-return profile.

ii. Reduction of risk through forward currency contract

A forward contract is a contract that fixes the exchange rate for the purchase or sale of a quantity of one currency in exchange for another, for settlement at a future date. Companies can therefore arrange with a bank to buy or sell foreign currency at the future date, at a rate of exchange determined when the contract is made. The advantage of forward contract is it removes uncertainty in a future exchange rate by fixing the rate.

In the case of Xora, the company has a US dollar-dominated liability of BDT 470 million i.e. USD 5.49 million on 31 December 2021. For example, to repay the liability on 30 June 2022 the company has to pay BDT 546 million (5.49 X 99.45), making a foreign exchange loss of BDT 76 million. Xora could reduce the loss by entering into a forward contract with a bank. However, on 31 March 2022 if Xora enter into a three-month forward currency contract with a bank to purchase USD at BDT 86.20, then on 30 June 2022, the payment against the liability will be BDT 473.3 million (5.49 X 86.2) and the bank credit charge and operating costs BDT 1.14 million (470 X .3%), resulting in a total gain or reduction of loss of BDT 71.56 million (546 - 473.3 - 1.14).

The disadvantage however is that it takes away the opportunity to gain from favorable movement in the exchange rate in the forward period.

iii. Sustainability

Sustainability is a business approach to creating long-term value by taking into consideration how a given organization operates in the ecological, social, and economic environments. Sustainability is built on the assumption that developing such strategies fosters company longevity. Paying attention to environmental, social, and governance (ESG) issues is becoming increasingly critical for all companies across all industries. Analysts suggest that companies with high ratings for ESG performance enjoyed substantially higher operating margins than those of lower ESG performers. They believe that ESG programs will generate more shareholder value in coming years than they do today. As the expectations on corporate responsibility increase, and as transparency becomes more prevalent, the need to act on sustainability becomes decisive. Professional communications and good intentions are no longer enough.

Xora can achieve sustainability through its solar panel manufacturing project. Solar energy is less carbon-intensive than coal and gas, addressing climate change and decarbonization. By addressing carbon emissions, the company protects the environment and the people of society. Therefore, through solar panel manufacturing, the company can satisfy the present needs profitability without affecting the ability of future generations to meet their own needs, thus ensuring sustainability.

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Answer to the Question# 2 (b):

In order to face the situations characterized by the maturity stage of PLC, alternative marketing and distribution strategies listed below are suggested.

(i) Intensive promotion by means of—

- brand-stressing advertising.
- more attractive design and functional packaging.
- more after-sales service; • heavier point of sale effort; and
- increase in sales promotion expenditure to hold customer loyalty.

(ii) Trading down through —

- introduction of low-priced models of an established product.
- price-cutting of the entire product line and keeping prices close to private levels; and
- entering a 'fighting brand' on the market at a lower price to avoid killing of an established premium brand.

(iii) Trading up (strategy opposite to item 2) through

- improvement of quality/appearances, etc.
- use of prestige packages.
- price increase to cream market levels (in order to increase market penetration/ earn more margin on possibly lower sales/keep greater differentiation over competitive products)

(iv) Proliferation, exclusive or radical, by

- more designs/ varieties.
- more exclusive and innovative features.
- creating radical/ distinct package designs; and
- more options.

(v) Increase of product availability and point-of-sale service through more distribution outlets/ dealers/ service centers, etc.

Answer to the Question# 2 (c):

Buying is the formal process of purchasing goods and services. The buying process can vary from one organization to another but there are some key elements that are common throughout. The process has the following stages:

(i) **Problem recognition**: This is a stage where the consumer perceives a need and becomes motivated to solve a problem. Problem recognition results when there is a difference between one's desired state and one's actual state. Consumers are motivated to address this discrepancy and therefore they commence the buying process. Sources of problem recognition include:

- An item is out of stock • Dissatisfaction with a current product or service
- Consumer needs and wants • Related products/services
- Marketer induced
- New products- the relevant internal psychological process that is associated with problem recognition is motivation. A motive is a factor that compels action.

(ii) **Information search**: Once the consumer has recognized a problem, they search for information on products and services that can solve a consumer's problem. Consumers may undertake both an internal(memory) search and an external search. Sources of information include:

- Personal sources
- Commercial sources
- Public sources • Personal experience the relevant internal psychological process that is associated with information search is perception. Perception is defined as 'the process by which an individual receives, selects, organizes, and interprets information to create a meaningful picture of the world.'

(iii) **The selective perception stage**: Consumers choose promotional messages they are exposed to. Through selective attention consumers select which promotional messages they will pay attention to. Consumers interpret messages in line with their beliefs, attitudes, motives, and experiences. Consumers tend to remember messages that are more meaningful or important to them.'

(iv) **Alternative evaluation**: Attitudes are 'learned predispositions' towards an object. Attitudes comprise both cognitive and affective elements— that is both what one thinks and how one feels about something. At this stage the consumer compares the brands and products that are in their evoked set. Consumers evaluate alternatives in terms of the functional and psychological process that is associated with the alternative evaluation stage is attitude formation. The multi-attitude model explains how consumers evaluate alternatives on a range of attributes. Several possible strategies can be used to influence the process (attitude change strategies). Finally, there are several ways that consumers apply to make their final choice decision. Thus, any marketing organization is naturally keen to know how consumers evaluate alternatives on salient or important attributes and make their buying decision.

(v) **Purchase decision**: Once the alternatives have been evaluated, the typical consumer gets ready to make a purchase decision. Sometimes purchase intention stage is formed before actual purchase. Here, the marketer must facilitate the consumers to act on their purchase intention. The provision of credit or payment terms may encourage purchase, or a sales promotion such as the opportunity to receive a discount or offer an incentive to buy now. The relevant internal psychological process that is associated with purchase decision is integration.

(vi) **Post purchase evaluation**: Once the consumer has purchased and used any product, they are likely to evaluate their earlier purchase decision. They compare the product's performance with their expectations. If the product does not perform as expected, they will experience some post purchase dissatisfaction. When consumers purchase any high involvement product, that is more expensive product for which they exert a greater purchasing effort in terms of time and search, they usually experience some level of discomfort after the purchase. That is, they experience some doubt or ambiguity about the right choice. This situation is technically referred as 'cognitive dissonance.' The relevant internal psychological process that is associated with post purchase evaluation is learning.

Answer to the Question# 3 (a):

The current organizational structure is: a management team headed by the CEO. Under the CEO, three parallel department heads; Head of Finance, Operation and Fashion Design, and each department has a manager. This structure may be suitable for a small organization. However, the fundamental problem with the structure is it does not have a board. The other issues with the current structure are:

- Decision-making will take too long due to different geographical coverage.
- Centralized decisions will not allow individuals to react quickly enough to the changes in the market.
- It may stifle the initiatives and creativity of the individuals managing different showrooms.

For the reasons outlined above, the below-mentioned structure is recommended.

- The board of directors consisting Mr Montasir, Mrs Rushna Kabir and Miss Rehana Kabir.
- Under the board, the management team headed by the CEO- Montasir Kabir.
- Then, three parallel departments- Finance, Operations and Design headed by the current managers.
- Under the operations: Manager- Sky-Sylhet, Manager: Sky- Chittagong and Manager: Sky- Barishal.

This structure will bring many benefits including the following:

- The practice of corporate governance of the company will increase, e.g. chain of command.
- The departments can act with better comfort and freedom, which will lead to better performance.
- The overlapping control will reduce, which will result in performance efficiency.
- It will be much easier to assess the performance of each showroom manager.
- Individual managers will feel motivated because they are directly responsible for the performance of their showrooms.
- They can adapt more quickly to any changes in their respective markets.
- The structure will also facilitate any potential growth.

Answer to the Question# 3 (b):

Mr Montasir Kabir seems to control all decisions and ignores input from employees. He makes choices based on his ideas and judgments and rarely accepts advice from others. Despite being aware of the impacts of his decision, Montasir seems reluctant. Therefore, the current management style of Montasir Kabir appears to be autocratic.

Although depending on factors such as the situation, the task group, and the characteristics of a team, the authoritarian style may be effective in making quick decisions, establishing a chain of command, and controlling a distressing situation, this leadership style at Sky Fashion appears to bring several downsides. Because Montasir makes decisions without consulting the group, people in the group may dislike that they are unable to contribute ideas, resulting in a lack of creative solutions to problems, which can ultimately hurt the employees from performing.

Moreover, the overcontrolling attitudes may hurt the morale of employees. People tend to feel happier and perform better when they feel like they are contributing to something. Since Montasir Kabir does not allow input from team members, employees may feel dissatisfied and stifled. Furthermore, it creates too much dependency on Montasir, making the employees ineffective.

Answer to the Question# 3 (c):

The ethical issues at Sky Fashion appear to be at both ends. Pressure from management to meet an unrealistic target is one of the leading factors to cause unethical corporate behaviour. The sales target set by the CEO, holding all the employees at the outlets accountable, despite being aware that the achievement is unrealistic, is unethical. This unrealistic sales target will put undue pressure on employees, discouraging them from making reasonable sales, or even attempting to sell. Therefore, the CEO should set a realistic target for relevant employees.

Although several researchers suggest using social media in the workplace may boost morale and improve employee engagement, social media can be a productivity killer. Excessive use of personal social media at the workplace reduces effective working hours. Therefore, the use of social media in the workplace, perhaps beyond a level, is seen as unethical. The employees at Sky Fashion should, therefore, utilize their working house effectively.

Answer to the Question# 4 (a):

Synergy is the concept that the value and performance of two companies will be greater than the sum of the separate individual parts. Usually, it is explained by the term "two plus two equals five". If two companies can merge to create greater efficiency or scale, the result is a synergy merge. The expected synergy achieved through acquisition can result in various factors, such as increased revenues, combined talent and technology, and cost reduction.

In addition to acquiring or merging with another company, a company can create synergy by combining products or markets, such as when one company cross-sells another company's products to increase revenues. Companies can also achieve synergy between different departments by setting up cross-disciplinary workgroups in which teams work cooperatively to increase productivity and innovation.

As discussed above, an acquisition can create synergy by combining the facilities of the acquiree company and the acquirer. By acquiring the frozen product logistic company, Showdesh Limited can utilize the logistic service, talents and other resources to reduce costs and achieve greater market reach. Therefore, the benefit will compensate for any premium paid during the acquisition.

Answer to the Question# 4 (b):

-BCG Matrix was invented in the 1970s and has been used intensively by large organizations ever since. In management tools surveys today, the matrix still appears very prominently popular with well-known companies.

- It is useful because of its simplicity to map key products/services within four conditions; these conditions are also aligned with the stages of a product life cycle (which in term are linked to the stages of the industry life cycle). - The two parameters, market growth and relative market share, have traditionally and long been considered key success factors for an organization's key products/services, and so it has stood the test of time.

- A key problem with it is its due dependency on decisions regarding cash and availability of cash flow. Given the emphasis of more recent literature on the need to consider a balanced range of measures for an organization (such as the balanced scorecard literature), this has become an area of criticism.

- A similar alternative commonly used by companies is the GE matrix: this considers the dimensions of business strengths (which is a measure of competency) and industry attractiveness (which is the market aspect), in three zones of strengths, and recommendations are offered for products/services falling within these zones.

Answer to the Question# 4 (c):

- Franchising is a very popular method of corporate growth.

- Most of the large international large chain stores are operated on a franchising relationship, such as McDonalds, Zara and H&M.

- Its popularity is premised on its simplicity, a basic contractual relationship between franchiser and franchisee, where the franchisee pays the franchiser for the use of strategic resources and in return the franchisee will deliver the objectives of the franchiser.

- Franchising is based on implementing and executing the business model of the organization (and not strategy per se).

- Franchising is flexible as it allows quick growth of the organization, as well as downsizing of the organization without damage to the reputation or structure of the parent company.

Answer to the Question# 5:

Performance for year ended 30 June 2021

Gross room revenue – Dream Night's 'gross' room revenue based on standard room rates has increased by 6·6% in 2021, which reflects the higher occupancy rates (74% v 72%) and the increase in standard room rates (BDT 11900 v BDT 11475 per night).

However, this gives a rather misleading impression of how well the hotels have performed in the year to 2021.

Revenue after discounts – Revenue from room sales, adjusted for discounts or rate reductions offered, has actually only increased 1·8%, and that reflects the significant 45% increase in discounts or reductions offered:

	2021	2020	% change
	BDTm	BDTm	
Standard revenue	9511	8923	6·6%
Discounts/reductions	1426	981	45·4%
Room revenue net of discounts	8085	7942	1·8%

Faced with the declining number of tourist customers, and consequently the prospect of lower occupancy rates, managers may have decided to offer lower room rates to try to retain as many of their existing tourist customers as possible, or to try to attract additional leisure customers.

Although occupancy rates increased by 2·8% (from 72% to 74% which now exceeds the budgeted level), revenue, net of discounts, only increased by 1·8%. This means that revenue per room per night after discounts in 2021 was lower than in 2020, despite the standard rate being higher (BDT11,900 v BDT 11,475).

In the context of tough market conditions, the decision to increase the standard room rate for 2021 appears rather optimistic. Although the hotel managers have managed to achieve occupancy rates higher than budget, they have only managed to do so by reducing room rates.

Additional revenue – One of the potential benefits of increased occupancy rates, even if guests are paying less per room per night, is that they will generate additional revenue from food and drink sales. This appears to be the case because additional revenues have increased by approximately 5%.

Total revenue – In total, revenue (net of discounts) has increased 2·4% in 2021 v 2020. Given the tough competitive environment, Dream Night Co could view any increase in revenues as positive. Moreover, provided the revenue achieved from selling the room is greater than the variable cost of providing it, then increasing occupancy levels should increase the hotels' contribution to profit.

Operating profit – However, despite the increase in revenue, operating profits have fallen by BDT 28m (1·3%) between 2021 and 2020, due to a sizeable increase in operating costs.

There is no detail about Dreamt Night Co's operating costs, for example, the split between fixed and variable costs. However, in an increasingly competitive market, cost control is likely to be very important. As such, the BDT 262 million (3·3%) increase in operating costs between 2021 and 2020 is potentially a cause for concern, and the reasons for the increase should be investigated further.

However, when looking to reduce costs, it will be very important to do so in a way which does not compromise customer satisfaction. More generally, Dream Night Co needs to avoid cutting expenditure in areas which will have a detrimental impact on customer satisfaction ratings, for example, not replacing mattresses even though they are becoming uncomfortable to sleep on.

Operating profit margin – The increase in costs has also led to a fall in operating profit margin from 20·8% to 20·0%.

It is perhaps more instructive to look at the margin based on standard room rates per night, thereby reflecting the impact of the discounts offered as well as the increase in costs. On this basis, the margin falls slightly more: from 18·9% to 17·6%.

		20X7	20X6
		BDT m	BDT m
Total revenue		10147	9913
Discounts offered		1426	971
Gross revenue		11573	10884
Operating profit		2033	2061
Operating profit margin	17·6%	18·9%	

ROCE – This reduced profitability is also reflected in the company's return on capital employed which has fallen slightly from 62% (BDT 2057m/BDT 3323m) to 60·5% (BDT 2031m/BDT 3357m). This suggests that the value which Dream Night Co is generating from its assets is falling. The decline in ROCE could be a particular concern given the relative lack of capital investment in the hotels recently. Capital investment will increase the cost of Dream Night Co's non-current assets, thereby reducing ROCE for any given level of profit.

Customer satisfaction scores Although the reduction in profitability should be a concern for Dream Night Co, the reduction in customer satisfaction scores should potentially be seen as a greater cause for concern. The scores suggest that, in the space of one-year, Dream Night Co hotels have gone from being in the top 10% of hotels to only just being in the top 25%. This is a significant decline in one year, and one which Dream Night Co cannot afford to continue.

Best Night Co prides itself on the comfort of its rooms and the level of service it offers its guests. Both of these factors are likely to be important considerations for people when considering whether or not to stay in a Dream Night Co hotel. Therefore, falling customer satisfactions levels could be seen as an indication that fewer existing customers will stay at a Dream Night Co hotel in future – thereby threatening occupancy rates, and prices, in future.

Moreover, the scores suggest that the decision to defer the refurbishment programme is likely to have a detrimental impact on future performance.

Answer to the Question# 6 (a):

Conversion of short-term borrowings into a longer-term:

The current short-term to long-term debt ratio of Phoenix Builders is 7.7, while the interest cover ratio is 11 times. Therefore, although cash flows from the operation is negative, it is highly likely that the banker will agree to convert the short-term loan into a long-term. However, the conversion decision should consider, among others, some issues.

Ideally, long-term investments should be financed through long-term borrowings. Converting short-term borrowings into long-term loans would indicate a need for finance on a longer-term basis. To determine how much to borrow, the firm would need to estimate its finance requirements over a period of several years.

One of the fundamental problems with borrowing fixed-term loans to finance working capital is that there will be times when the financing is not needed, resulting in paying interest on loans it does not currently need. Similarly, if the long-term borrowing is lesser than the requirement, the company will need to borrow short-term, leading to more expensive financing. Therefore, the company should seek a lower-cost financing method.

Introducing share-based payments:

The face value of the issued shares of Phoenix Builders is BDT 10, while the book value is BDT 23.67. Therefore, the introduction of share-based payment at a price below BDT 23.67 appears to be acceptable to the employees. Moreover, the share-based payment will reduce the existing 39% debt to equity ratio.

However, the private status of the company may reduce its attractiveness since such shares are mostly unmarketable. Additionally, the recognition of share-based payment under International Financial Reporting Standards for private limited companies is demanding. A considerable amount may need to pay to the consultants to comply with the measurement and disclosure requirements under IFRS.

Answer to the Question# 6 (b):

Although the employment terms allow the company to convert its site-based permanent employees to contract-based, never practicing such policy and discussing prospectively with the employees seem to have created a constricted obligation. This practice can also be termed as morally grey. Therefore, as the employee well-being is concerned, the proposed action does not appear to be appropriate.

However, since the company is under cash flow pressure, it can proceed with the share-based payment option. Additionally, it might concentrate on the effective utilization of personnel hours at the sites together with the reduction of other operating costs. The proposal of the CFO may demoralize employees and affect the operations significantly since, ideally, a majority of the workers of a construction company are site-based.

---The End---